

NextEra Energy, Inc.

NEE NYSE

Buy	\$84.58 ▼ 1.28%	12M Price Target \$95.00	52-Week Range \$67.20 – \$98.75	Market Cap \$176.40B
-----	-----------------	-----------------------------	------------------------------------	-------------------------

NEE: Reiterate Buy; Pullback Offers Entry Amid Utility Rotation Debate

WHAT'S CHANGED

- NEE traded down 1.28% to \$84.58 on ~11.9M shares, extending a 3% slide from the 5/29 \$87.01 close despite a +1.29% Energy sector tape — implying utility-specific rotation pressure rather than broad risk-off.
- Sentiment skew has turned mixed: Barron's and 24/7 Wall St. flag utilities as a "battleground" / rate-sensitive hiding spot, while Motley Fool and Insider Monkey frame NEE as a top June idea tied to next-decade utility growth.

IMPLICATIONS

The pullback to 55% of the 52-week range comes without any new SEC disclosure, suggesting macro-driven (rates/duration) selling rather than a fundamental deterioration in FPL's regulated earnings power or NEER's renewables backlog. With AI/datacenter load growth driving record interconnection queues, NEE's ~70GW renewables pipeline and Florida service-territory growth remain structurally advantaged — the current weakness reflects sentiment around utilities as "bond proxies" rather than NEE's underlying 6–8% EPS growth algorithm. A neutral put/call (1.11) with an unusual \$101 June call print and 86.9% institutional ownership suggest sophisticated holders are not de-risking.

VALUATION

At \$84.58, NEE trades at ~22.7x FY26E EPS of \$3.72 and ~14.2x EV/EBITDA — a premium to regulated utility peers (~18x) but justified by NEER's renewables growth optionality and FPL's superior allowed ROE. Our \$95 PT (≈12% upside) assumes a 25x multiple on FY27E \$4.05 EPS, consistent with historical premium during rate-cut cycles. Key multiple drivers: 10Y yield trajectory, IRA/ITC policy clarity, and renewables PPA pricing in the AI-demand backdrop.

KEY RISKS

- Interest rate sensitivity: utilities sold off as "worst hiding spot" per 24/7 Wall St.; sustained 10Y above 5% compresses multiples.
- Regulatory/policy risk on IRA tax credits and FPL's next rate case (filing cadence into 2026).
- Renewables execution risk on interconnection delays and PPA repricing if equipment/financing costs rise.

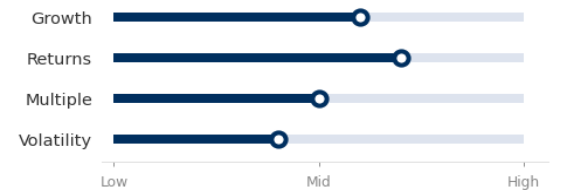
RECENT NEWS

Assessing NextEra Energy (NEE) Valuation After Recent Share Price Weakness And Mixed Return... Simply Wall St. · 2026-06-02 19:12

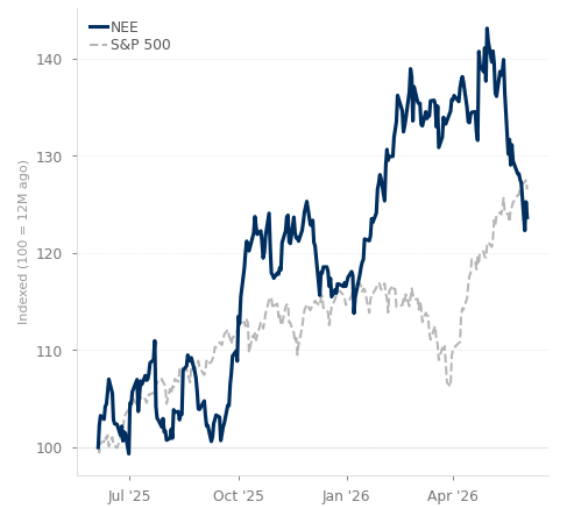
Beyond the AI Boom: 3 Forgotten Sectors to Buy Amid Historic Market Disconnect Barrons.com · 2026-06-02 13:13

Key Data	
Price (USD)	\$84.58
12M Price Target	\$95.00
Upside / (Downside)	+12.3%
Market Cap	\$176.40B
FY2026E Revenue	\$28,400M
FY2027E Revenue	\$30,750M
FY2026E EPS	\$3.72
FY2027E EPS	\$4.05
Fwd P/E	22.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$90.00	\$86.00	\$80.00
6 Months	\$98.00	\$90.00	\$76.00
1 Year	\$108.00	\$95.00	\$72.00
2 Years	\$125.00	\$105.00	\$68.00
5 Years	\$165.00	\$135.00	\$75.00
10 Years	\$230.00	\$180.00	\$85.00

SECTOR INTELLIGENCE

HOT SECTORS: Energy (+3.02% 5D), Materials (+0.88% 5D)

COLD SECTORS: Consumer Staples (-2.86% 5D), Real Estate (-2.51% 5D)

ROTATION WATCH: Capital is rotating into hard-asset/cyclical Energy and Materials while duration-sensitive Staples/REITs (and by extension regulated utilities) lag — a setup that pressures NEE near-term but reverses sharply on any dovish Fed pivot.

BYPRODUCT PLAY: AI/datacenter power demand is creating a multi-decade load growth tailwind — secondary beneficiaries include grid-equipment names (GEV, ETN), nuclear restart plays (CEG, VST), and natural gas peakers as renewables intermittency requires firming capacity.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Leading utility space on nuclear/hyperscaler PPA deals (Microsoft Three Mile Island), trading at premium to traditional utility multiples on AI-power thesis.
- VST (Vistra): Outpacing IPP peers on Texas load growth and gas/nuclear generation mix capturing AI demand premium.

NEE CONTEXT: NEE is lagging the AI-power utility cohort (CEG/VST) which have decoupled on direct hyperscaler narratives, while NEE's regulated FPL exposure caps the re-rating. Relative weakness suggests the market is under-crediting NEER's renewables scale as an AI-firming solution — a gap likely to close as PPA disclosures emerge.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on pullbacks; add below \$80

Time Horizon: 12-24 months

Thesis Invalidation: FPL rate case setback, >15% renewables backlog cancellation, or sustained 10Y >5.5%

Hedging: Long XLU / short NEE pair, or buy Jan-2027 \$75 puts